

NOVA.AI

REIMBURSEMENT POLICY

Finance

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1. Purpose & Scope

This policy governs how employees claim reimbursement for business-related expenses incurred on behalf of Nova.ai, including travel, learning, wellness, client engagement, and other eligible categories. It applies to all full-time, confirmed probationary, and contract employees authorized to incur business expenses.

2. General Principles

- Expenses must be reasonable, business-necessary, and incurred in the ordinary course of duty; the Company does not reimburse expenses of a personal nature.
- All claims are submitted through the Expense Portal with scanned or digital receipts attached; claims without valid receipts are reimbursed only up to \$500 per claim on a self-certified basis.
- Claims must be submitted within 30 days of the expense being incurred; claims submitted beyond 60 days require Finance Controller approval and may be rejected at the Company's discretion.
- Employees must use the lowest reasonably available cost option (e.g., economy fare, standard hotel category) unless their grade entitles them to a higher category under the Travel Policy.

3. Eligible Expense Categories

Category	Examples	Governing Policy
Business Travel	Flights, hotels, local conveyance, visa/forex	Travel Policy
Client Entertainment	Client meals, hospitality	This policy, Section 5
Learning & Certification	Courses, certification exam fees, conferences	Employee Handbook Ch. 7
Wellness	Gym membership, EAP-linked expenses	Employee Handbook Ch. 5
Remote Work Setup	Internet reimbursement, ergonomic equipment	IT Onboarding Guide
Relocation	Packers and movers, temporary accommodation	HR Policy

4. Submission & Approval Workflow

Claims are auto-routed to the employee's Reporting Manager for first-level approval within 3 working days. Approved claims above \$25,000 require an additional Department Head approval before moving to Finance for payment processing. Rejected claims are returned to the employee with a documented reason and may be resubmitted once with corrected documentation.

5. Client Entertainment & Hospitality

Client meals and hospitality expenses are reimbursable up to \$3,000 per person per event for domestic engagements and \$6,000 per person for international engagements, with the business purpose and attendee list recorded in the claim. Alcohol is reimbursable only where customary for the client relationship and within the same per-person cap.

Payment Timeline

Approved claims are paid out in the next available payroll or vendor payment cycle following approval — processed twice monthly (7th and 22nd), consistent with the Finance Standard Operating Procedures. Claims approved after the 22nd of a month are carried to the next cycle.

6. Advances

Employees travelling for extended business trips (5 days or more) may request a cash or card-based travel advance of up to 80% of the estimated trip cost through the Expense Portal, at least 5 working days before departure. Advances must be settled with actual receipts within 15 days of return; unsettled advances beyond 30 days are recovered from the next payroll cycle.

6.1 Advance Settlement Timeline

Trip Duration	Max Advance	Settlement Deadline
5 – 9 days	80% of estimated cost	15 days from return
10 – 20 days	70% of estimated cost	20 days from return
21+ days / relocation	60% of estimated cost, in tranches	30 days from return

6.2 Mileage Reimbursement (Own Vehicle)

Employees using a personal vehicle for approved business travel (client visits, inter-office trips) may claim mileage reimbursement at ■8 per km for two-wheelers and ■12 per km for four-wheelers, logged via the Expense Portal's trip-log feature with origin, destination, and business purpose. Mileage claims are capped at 500 km per month per employee.

6.3 International Meal Per Diem

In lieu of itemized meal receipts during international travel, employees may opt for a fixed daily meal per diem of USD 60 for Associate/Analyst and Manager grades, and USD 80 for Director and above, in place of claiming actual meal receipts for that trip. Per diem and itemized receipts cannot be combined for the same day.

7. Corporate Expense Cards

Employees at Manager level and above, and any employee travelling internationally, are issued a corporate expense card with a monthly limit set by grade (■50,000 for Manager/Senior Manager, ■1,50,000 for Director and above). Card transactions still require receipts and categorization in the Expense Portal within 15 days; unreconciled card spend beyond 45 days may result in the card being temporarily suspended pending reconciliation.

8. Non-Reimbursable Expenses

- Personal entertainment, family travel companions, or upgrades beyond the entitled travel class.
- Fines, penalties, or expenses arising from personal negligence (e.g., traffic violations, late cancellation fees not related to a business change of plan).
- Expenses lacking a valid business justification or supporting receipt beyond the self-certification cap in Section 2.
- Any expense already covered under another Company benefit (e.g., double-claiming a wellness expense already reimbursed under the annual wellness benefit).

9. Foreign Currency Claims

Expenses incurred in foreign currency are converted to INR using the Company's designated conversion rate (RBI reference rate on the date of expense, plus applicable card conversion charges actually incurred). Original foreign currency receipts must be retained and attached alongside the INR-converted claim.

10. Audit & Compliance

Expense claims are subject to periodic sample audit by the internal audit function described in the Finance Standard Operating Procedures. Employees found submitting fraudulent, duplicated, or materially misrepresented claims are subject to disciplinary action under the Code of Conduct, up to and including termination, and may be required to repay the disputed amount.

11. Manager Responsibilities

Approving managers are accountable for verifying that a claim is business-necessary and correctly categorized before approval, not merely for procedural sign-off. Repeated approval of non-compliant claims may result in the manager's approval authority being reviewed by Finance.

12. Grievances & Disputes

Employees disputing a rejected or partially reimbursed claim may raise a documented appeal through the Expense Portal within 10 working days of the rejection, reviewed jointly by the Reporting Manager and a Finance representative, with a final decision communicated within 5 working days of the appeal.

13. Related Documents

Travel Policy · Finance Standard Operating Procedures · Employee Handbook (Ch. 5, Employee Benefits; Ch. 7, Learning & Development) · Code of Conduct (Section 6, Gifts, Bribery & Anti-Corruption).

Quick Reference: Submission Checklist

Before submitting a claim, confirm: (1) valid receipt attached or within the ■500 self-certification limit, (2) claim raised within 30 days of the expense, (3) correct expense category selected, and (4) business purpose clearly noted. Incomplete claims are the most common reason for processing delays.

This is a synthetically generated sample policy document created for demonstration and RAG-project portfolio purposes. It does not represent an actual company policy.